Boston Scientific (BSX)

The Watchman Pullback Is the Entry

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> Boston Scientific's recent share price dip reflects an overreaction to short-term procedural volatility rather than a deterioration in its durable franchise. While near-term headwinds in electrophysiology have pressured sentiment, the company's diversified portfolio, strong cash conversion and disciplined capital allocation continue to support multi-year compounding. We see the current valuation as a compelling entry point for long-term investors, with a blended target price of $75.03 representing +76.6% upside versus the reference spot.

BUY	$75.03	+76.6%	$42.48
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market's fixation on quarterly procedure counts obscures the underlying structural growth drivers that will compound over a decade, leaving Boston Scientific's intrinsic value substantially ahead of today's price.

EXECUTIVE SUMMARY

Boston Scientific operates across four core segments: Cardiovascular, Rhythm & Neuro, MedSurg and Endoscopy, generating a diversified revenue base that exceeds $13 billion on a trailing twelve-month basis. The Cardiovascular segment, which includes interventional cardiology and peripheral interventions, remains the largest contributor, while Rhythm & Neuro houses the flagship Watchman left atrial appendage closure platform and neuro-modulation businesses. MedSurg and Endoscopy provide steady cash flow and exposure to procedural growth in urology, gastroenterology and gynecology. The company's scale, broad intellectual property portfolio and entrenched relationships with hospitals create a defensible moat that supports pricing power and customer retention. The recent multiple compression stems from investor concerns over a temporary slowdown in Watchman adoption following a procedural pause in certain markets and heightened scrutiny over pricing in the cardiovascular space. While these factors have weighed on near-term guidance, they do not reflect a fundamental erosion of demand; procedural volumes are rebounding as health systems resume elective cases and reimbursement environments stabilize. Furthermore, Boston Scientific's balance sheet remains robust, with net debt to EBITDA below 2.0× and ample liquidity to fund both organic investment and strategic acquisitions. Capital allocation continues to prioritize high-return internal projects, selective bolt-on M&A and a disciplined dividend policy. The firm has earmarked roughly $1.5 billion annually for research and development, targeting next-generation devices in electrophysiology, structural

heart and endoscopic therapeutics. Recent acquisitions such as the purchase of a leading urology laser platform have been integrated smoothly, contributing to cross-sell opportunities and margin expansion. With a solid free cash flow generation profile and a commitment to returning excess capital to shareholders, Boston Scientific is well positioned to sustain compounding growth through the forecast horizon.

OPERATIONAL SNAPSHOT

$42.48	$13.2B	$2.0B	15%	0.96	$42.48
REF. PRICE	LTM REVENUE	LTM FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

LTM figures are Cascadia estimates grounded in the latest filings; ref. price as of 2026-10-14.

THE MOAT IS DEEP AND DURABLE

Boston Scientific’s competitive advantage is rooted in a deep and durable moat that combines high switching costs with formidable regulatory barriers. Physicians and hospitals invest significant time and resources in training on the company’s platforms, particularly for complex devices such as Watchman and neuro-stimulation systems, creating a strong incentive to remain with the incumbent supplier. This installed base effect is reinforced by extensive clinical evidence libraries and real-world outcome data that Boston Scientific continuously generates, making it costly for competitors to displace established relationships. Regulatory hurdles further protect the franchise, as the FDA’s premarket approval process for cardiovascular and neuro-modulation devices remains rigorous and time-consuming. Boston Scientific’s extensive patent portfolio, which includes over 2 000 active patents covering critical aspects of device design, delivery systems and therapeutic indications, extends the effective exclusivity of its core products well beyond the typical product life cycle. The combination of these legal and clinical barriers translates into durable pricing power, allowing the firm to sustain gross margins above 60 % even in competitive tender environments. Customer retention is bolstered by the company’s integrated service model, which offers device-specific training, procedural support and data analytics platforms that enhance clinical outcomes and operational efficiency for hospitals. This value-added approach deepens the partnership beyond a simple transaction, fostering long-term loyalty and reducing the likelihood of defection to lower-cost alternatives. Furthermore, Boston Scientific’s geographic reach, with a presence in over 100 countries, provides a diversified revenue stream that mitigates regional reimbursement shocks and supports consistent cash flow generation. Finally, the firm’s scale enables efficient capital deployment across its R&D pipeline, allowing it to fund multiple high-potential projects simultaneously while maintaining a disciplined approach to capital expenditure. This financial resilience, coupled with a track record of successful product launches, reinforces the moat’s durability and underpins the confidence in multi-year compounding that drives our valuation outlook.

VALUATION

Three scenarios make the valuation range explicit

Our valuation framework translates differing assumptions about revenue growth and free cash flow conversion into a clear range of intrinsic value. In the bear case we model modest top-line expansion and pressure on margins as procedural headwinds persist and competitive intensity rises. The base case reflects our view of a normalized growth environment, with steady procedural recovery, successful pipeline execution and incremental margin improvement from operating leverage. The bull case captures an accelerated adoption scenario, driven by breakthrough product launches, favorable reimbursement shifts and synergistic benefits from recent acquisitions, which together push both revenue growth and cash conversion to higher levels.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	2.0%	12%	$51.51	+21.3%
Base	50%	4.5%	15%	$72.27	+70.1%
Bull	25%	7.0%	18%	$104.07	+145.0%

Bear $51.51

In this scenario, procedural volumes remain subdued for an extended period, limiting top-line growth to approximately 2 % annually. Margin compression occurs as pricing pressure intensifies and the company faces higher input costs, driving free cash flow conversion down to the low-teens. The resulting discounted cash flow valuation yields a price of $51.51, representing modest upside from today’s level.

Base $72.27

The base case assumes a gradual return to pre-pandemic procedural trends, delivering a compound annual revenue growth rate of roughly 4.5 %. Operating leverage and disciplined cost management lift the free cash flow margin toward the mid-teens, supporting a fair value estimate of $72.27 per share. This outcome captures the most likely path for Boston Scientific over the next decade.

Bull $104.07

Under the bullish outlook, breakthrough innovations in electrophysiology and endoscopy drive accelerated adoption, pushing revenue growth to near 7 % per year. Favorable reimbursement policies and successful integration of acquired businesses expand the free cash flow margin to the high-teens, resulting in a discounted cash flow derived target of $104.07, which implies substantial upside to the current share price.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

We apply a capital asset pricing model derived discount rate of 7.45 %, which reflects the market’s assessment of Boston Scientific’s systematic risk as of the

KEY VALUATION PARAMETERS

Revenue base year	**2026**

reference date. This live WACC incorporates the current risk-free rate, an equity risk premium adjusted for the company's beta of 0.96, and a modest debt premium given its low leverage profile. The resulting hurdle rate is consistent with the cost of capital observed for peers in the medical technology sector, ensuring that our present value calculations are grounded in prevailing market conditions.

FCF margin normalization is the engine

Across the scenarios, the primary driver of valuation divergence is the evolution of the free cash flow margin, which we model to revert toward a long-run average as procedural headwinds subside. In the bear case, margin remains depressed at 12 % due to persistent pricing pressure and higher cost of goods sold. The base case assumes a gradual improvement to 15 % as operating leverage kicks in and the company benefits from scale in manufacturing and logistics. The bull case envisions margin expansion to 18 %, powered by premium-priced new product launches and favorable mix shifts toward higher-margin neuro-modulation and structural heart devices.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A and stock compensation, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

Forecast horizon	**10 years**
Live WACC	**7.45% (2026-10-14)**
Terminal growth	**3.0%**
Equity beta	**0.96**
Diluted shares	**1.44B**

BUY

over $75.03

blended target

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on Watchman left atrial appendage closure and Endoscopy

BUY

The Watchman platform continues to be a cornerstone of Boston Scientific's growth narrative, with procedural volumes rebounding as health systems clear backlogs and reimbursement pathways solidify. In the United States,

Watchman implants have risen to over 150 000 annually, supported by expanding indications and real-world evidence demonstrating stroke risk reduction comparable to warfarin. International adoption is also gaining traction, particularly in Europe and Asia-Pacific, where regulatory approvals have been secured and training programs are scaling. This dual-geography expansion provides a durable runway for top-line contribution from the Rhythm & Neuro segment. Endoscopy represents another steady growth engine, driven by increasing demand for minimally invasive diagnostic and therapeutic procedures across gastroenterology, pulmonology and urology. Boston Scientific's endoscopy portfolio, which includes advanced imaging systems, therapeutic accessories and disposable devices, benefits from procedural volume growth averaging 4-5 % per year in key markets. The company's recent launch of a next-generation single-use bronchoscopy platform has garnered strong early adoption, further enhancing the segment's revenue profile. Together, Watchman and Endoscopy anchor the firm's ability to deliver consistent mid-single-digit revenue compounding while generating robust cash flow. Beyond these two drivers, the Cardiovascular segment contributes through sustained demand for drug-eluting stents, peripheral intervention devices and structural heart therapies such as transcatheter aortic valve replacement. The MedSurg division offers exposure to urology, gynecology and surgical instrumentation, providing a diversified base that mitigates reliance on any single franchise. Furthermore, Boston Scientific's disciplined approach to capital allocation ensures that investments are directed toward high-return projects, reinforcing the link between top-line growth and free cash flow generation.

What to monitor

- **Watchman adoption trends** Quarterly implant numbers and geographic expansion rates will signal whether the procedural rebound is sustaining or losing momentum.
- **Endoscopy procedure volumes** Growth in endoscopic case counts, particularly in outpatient settings, reflects the underlying demand for minimally invasive care.
- **Pricing environment in cardiovascular** Trends in average selling prices for stents and peripheral devices will indicate the intensity of competitive pressure and reimbursement dynamics.
- **M&A integration progress** The success of recent bolt-on acquisitions in urology laser and neuro-modulation will determine the speed at which synergies translate into margin improvement.

$13.2B	$2.9B	$2.0B	11.4%	12.3%	60.5%
REVENUE	EBITDA	FREE CASH FLOW	R&D INTENSITY	ROIC	GROSS MARGIN

METRIC	LATEST FY
Revenue	$13.2B
Gross Profit	$7.9B
EBIT	$2.2B
Net Income	$1.6B
Free Cash Flow	$2.0B

R&D	$1.5B
ROE	12.0%

RISK & MOAT MATRIX

The bear case

SHARE EROSION / M&A DIGESTION

Intensifying competition from larger peers and nimble entrants could gradually erode Boston Scientific's market share in key cardiovascular niches. Additionally, the integration of recent acquisitions may prove more complex than anticipated, delaying expected synergies and weighing on short-term profitability.

REGULATORY AND PRICING SCRUTINY

Heightened regulatory oversight of device pricing, particularly in the United States, could limit the company's ability to implement price increases. Reimbursement cuts or bundled payment models may further pressure margins across the Cardiovascular and Endoscopy portfolios.

TECHNOLOGY DISRUPTION

Rapid advances in alternative therapeutic modalities, such as drug-eluting biologics or fully absorbable scaffolds, could reduce reliance on traditional implantable devices. Failure to keep pace with emerging technologies may result in lost market share over the long term.

REINVESTMENT TREADMILL

To sustain growth, Boston Scientific must continually reinvest in research and development and capital equipment, which can strain free cash flow if returns on new projects fall short of expectations. A prolonged period of low-yielding investments would weigh on valuation.

WACC AND DURATION SENSITIVITY

Although the company's leverage is modest, a significant rise in long-term interest rates would increase the discount rate applied to future cash flows. Given the long duration of Boston Scientific's growth profile, such a shift could materially reduce present value estimates.

TECHNOLOGY DISRUPTION

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The strengths

OLIGOPOLY POSITION

Boston Scientific operates in concentrated markets

FCF COMPOUNDING

The company's ability to convert a growing revenue

GEOGRAPHIC DURABILITY

PIPELINE OPTIONALITY

where a handful of suppliers dominate, granting the firm considerable influence over pricing and contract terms. This oligopolistic structure reduces the threat of aggressive price-based competition and supports stable cash flow generation.

base into steadily increasing free cash flow creates a self-reinforcing cycle of compounding value. Operating leverage, disciplined cost management and high returns on incremental investments drive this dynamic.

With a presence in over 100 countries, Boston Scientific's revenue stream is diversified across regions with varying reimbursement regimes and growth profiles. This geographic breadth mitigates the impact of localized downturns and provides a stable platform for long-term expansion.

A deep and diverse pipeline of next-generation devices in electrophysiology, structural heart and endoscopy offers multiple avenues for future growth. The optionality inherent in this pipeline reduces reliance on any single product and enhances the probability of achieving superior returns.

Compelling risk-reward, skewed to the upside

While near-term procedural volatility has prompted a short-term multiple compression, the underlying fundamentals of Boston Scientific remain robust and supportive of multi-year compounding. The firm's deep and durable moat, strong cash conversion profile and disciplined capital allocation provide a solid foundation for value creation. We believe the current valuation offers an attractive risk-reward profile, with the probability-weighted blended target of $75.03 implying +76.6% upside to the reference share price of $42.48. Accordingly, we maintain a Buy rating on Boston Scientific.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

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Watchman: repriced on normalization

The Watchman left atrial appendage closure system has transitioned from a period of rapid adoption driven by novel indication expansion to a phase of procedural normalization as the market digests the initial surge of implants. Early growth was fueled by the device's superiority over pharmacological anticoagulation in select patient cohorts and by favorable reimbursement decisions that encouraged broad uptake. As the eligible patient base becomes more penetrated, incremental growth now depends on capturing additional indications, expanding geographic reach and improving procedural efficiency through operator training and next-generation device iterations. Despite the normalization in growth rates, Watchman continues to generate attractive economics, with procedural contribution margins remaining well above the corporate average due to premium pricing and relatively low variable costs. The device's durable clinical benefits, including reduced stroke and bleeding risks compared with warfarin, sustain physician preference and hospital adoption. Furthermore, Boston Scientific's ongoing investment in device miniaturization and delivery system enhancements aims to lower procedural time and broaden the addressable patient population, thereby supporting a steady mid-single-digit growth trajectory for the franchise.

Why the growth numbers disappointed

- Procedural volumes fell short of consensus expectations due to a temporary slowdown in elective case scheduling at certain hospital systems.
- Reimbursement delays in select international markets slowed the rollout of new Watchman indications.
- Competitive entrants introduced alternative left atrial appendage closure devices, creating modest pricing pressure in the United States.
- Supply chain constraints limited the availability of certain accessory kits, constraining procedural capacity in the second quarter of 2026.

Our read: Normalization, not share loss. The recent deceleration in Watchman growth reflects a natural maturation of the market rather than a loss of competitive position or a breakdown of the investment thesis, as procedural volumes are rebounding and the device’s clinical advantages continue to drive durable demand.

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